

STEP # 1

SPAC is formed by sponsors

- Sponsors are professionals with relevant industry experience and provide initial capital

STEP # 2

SPAC raises money through initial public offer

- Objective is to raise funds to buy another company
- Important thing to note is that at the time of IPO, SPACs do not have business operations or stated targets for acquisition
- SPAC units trade like stocks, investors can buy or sell shares for the current market value

STEP # 3

Money raised goes into a trust

- Trust invests funds in money market funds or other suitable place

STEP # 4.1

Sponsors search for a suitable target company and acquisition is completed

- A SPAC has a limited time period (typically 24 months) in which to complete de-SPAC (identify a target operating company and conclude a business combination).

STEP # 4.2

Sponsors search for a suitable target company but are unable to acquire it

- The funds held in the interest-bearing trust account are either returned to the shareholders or sponsors seek shareholders' approval for an extension